

World in Brief: Sir Keir Starmer resigns; Donald Trump threatens Iran again



Photograph: Getty Images

Sir Keir Starmer resigned as **Britain's** prime minister and leader of the Labour Party. Sir Keir said he had “heard the answer” of his party on whether he should lead it into the next election.

Nominations for his replacement will open on July 9th; [Andy Burnham](#), the former mayor of Greater Manchester, is expected to replace Sir Keir. Wes Streeting, seen as a possible rival, gave Mr Burnham his support.

American and **Iranian** officials concluded a round of talks in Switzerland over the next stage of their peace deal. Qatari and Pakistani mediators said there was “encouraging progress” made towards a lasting agreement. But Donald Trump warned that “I can do whatever I want” after a 60-day pause in fighting, including “take over the rest of the country”. Mohammad Bagher Ghalibaf, Iran’s lead negotiator, warned America against issuing threats.

Abelardo de la Espriella, a hard-right former criminal-defence lawyer, won the presidential run-off [election](#) in **Colombia**, according to an initial count. He took nearly 49.7% of the vote, compared with 48.7% for his left-wing rival Iván Cepeda. Mr de la Espriella has promised to smash gangs and drug traffickers, build mega-prisons in the jungle and shrink the state.

Alan Greenspan, who served as chairman of the Federal Reserve between 1987 and 2006, under four American presidents, died aged 100. Mr Greenspan oversaw one of America's longest periods of economic expansion. But he will be remembered for his laissez-faire approach to financial regulation, which some see as responsible for the housing bubble that led to the financial crisis in 2008.

China imposed export controls on MP Materials and USA Rare Earth, two American **rare-earth** firms. Chinese companies will not be allowed to supply them with dual-use equipment that could be used for military, as well as commercial, purposes. Even non-Chinese firms will be barred from selling them kit that originated in China. China dominates the mining and processing of the minerals, used in everything from missiles to wind turbines.

Soaring temperatures contributed to the deaths of three people in south-west **France** as an intense **heatwave** began in Europe. [Record-breaking temperatures](#) are forecast across the country, as well as in Italy and Spain, in the coming days. Europe as a whole recorded more than 60,000 heat-related deaths during the [severe heatwave](#) of 2024. Even higher temperatures are forecast this year.

sk **Hynix** became South Korea's most valuable listed company, surpassing Samsung Electronics. Demand for the firm's high-bandwidth memory chips, which are needed for AI, lifted its shares by 5.6% on Monday, putting its market capitalisation at \$1.35trn. The chipmaker's shares have surged by 340% this year. South Korea's government has separately [pledged](#) to invest \$530bn in the country's chip industry over the next two decades.

Figure of the day: 3.3%, the percentage of straight American couples in which the woman is taller than the man, according to our analysis of survey data. [Read why](#) short men continue to struggle in the dating market.

US in Brief: Bipartisan backlash over Iran deal



Photograph: Picture Alliance

Bipartisan criticism of Donald Trump's tentative **deal with Iran** intensified, even as the first round of direct peace negotiations concluded in Switzerland. Lindsey Graham, a Republican senator, said: "I think it's going to fail." John Cornyn, a Texas Republican, quoted a *Wall Street Journal* article on X that suggested Iran's ability to withstand sanctions shows "economic pressure has largely failed to cow rogue regimes." Susan Rice, a Democrat, called the deal a "jaw-dropping, horrific surrender". On Sunday the president threatened to take over the Strait of Hormuz and resume attacks on Iran if it does not [curtail Hizbullah](#). His comments prompted Iranian negotiators to temporarily walk out of talks.

Jeanine Pirro, us attorney for the District of Columbia, vowed to prosecute anyone who vandalises the **Lincoln Memorial Reflecting Pool**. The Trump administration recently spent nearly \$15m on renovations, including a new "American-flag-blue" lining. But algae has turned the water green and the lining is disintegrating. Mr Trump, who declared that "radical-left lunatics" and "vandals" had poured chemicals into the pool, said on Sunday that "work will begin immediately" on repairs.

Mr Trump again called for the National Guard to be deployed to **Chicago** after at least seven people were killed in shootings over

the weekend. “Why isn’t Governor Pritzker calling me for help. I could make Chicago a safe City in ONE MONTH, in ONE YEAR,” he posted on Truth Social. J.B. Pritzker, Illinois’s governor, blocked the Trump administration’s deployment of troops last year. [Violent crime](#) in Chicago has fallen in recent years, though shootings rose slightly in the first half of 2026.

Congress looks set to pass a **bipartisan housing package** after months of wrangling. The 21st Century ROAD to Housing Act will, among other things, link federal grants to [housing construction](#) by local governments, and restrict big institutional investors from buying single-family homes. House and Senate Republicans had battled over the latter provision. Elizabeth Warren, a Democratic senator who is leading the bill, said it is “historic because it puts a big fat ‘no’ right in front of private equity’s growth as it tries to mow through our neighborhoods”.

Italy’s prime minister, **Giorgia Meloni**, told Mr Trump to “focus on your own popularity” as a spat escalated between the two leaders. On Saturday the president accused her of [failing to support](#) America’s efforts to stop Iran’s nuclear programme, and added she was “doing poorly” at home. Ms Meloni countered that her popularity had not been helped by “being your friend”. Last week the president had told an Italian TV channel that Ms Meloni had “begged me to take a photo with her” at the G7 summit. “I felt sorry for her,” he said.

California’s governor, Gavin Newsom, declared a state of emergency in **Los Angeles** after firefighters struggled to contain a huge fire that broke out in a commercial warehouse in the Boyle Heights neighbourhood on Thursday. Karen Bass, the mayor, declared it a “major, multi-jurisdictional incident”. Mr Newsom said state agencies would provide “additional assistance and resources” to help battle the blaze.

Israel out in the cold



Photograph: Getty Images

An official date has yet to be set for Israel's parliamentary election, but political insiders expect it to be October 20th. With four months to go, Binyamin Netanyahu is starting his re-election campaign at a low point.

Donald Trump's decision to sign a [memorandum of understanding with Iran](#) has damaged the prime minister's main selling points to the Israeli electorate. For decades he has made Israel's confrontation with Iran central to his agenda. Since 2016, when Mr Trump was first elected, he has also presented himself as having a unique partnership with America's president. Israel and America's joint decision to launch war against Iran in February seemed to prove the point.

Now this image looks tarnished. Mr Trump and his vice-president, J.D. Vance, have fiercely criticised Israel for not abiding by a [ceasefire in Lebanon](#). As America and Iran begin talks over the next stage of their deal, Israel can only look on in frustration.

Ukraine's strengths and vulnerabilities



Photograph: Reuters

The sight of columns of black smoke rising from an oil refinery in Moscow last week was testimony to the growing impact of [Ukraine's strike campaign](#). It showed how successfully the Ukrainians have depleted Russia's air defences even around the capital. Over the weekend officials in Russian-occupied Crimea also halted the sale of fuel at petrol stations because of Ukrainian drone attacks. On the ground, meanwhile, the picture is one of Russian pressure but minimal, if any, gains. One military analyst, Mick Ryan, describes the frontline as "a deep grey zone where control of ground changes rapidly and is continually contested".

Still, Russia can terrorise Ukrainian cities through its own aerial campaign. Ukraine's president, Volodymyr Zelensky, warned on Saturday of an impending "new massive strike". Its stockpile of Patriot interceptors is almost empty, leaving the country increasingly vulnerable to Russian ballistic-missile attacks.

A change of pace at China's central bank



Photograph: Alamy

China tends to do things in a rush. One exception is monetary policy. Unlike most central banks, which set an overnight interest rate, the People's Bank of China sets a rate for a leisurely seven days. It has also allowed market rates to drift quite far from this benchmark: as much as 0.5 percentage points above or 0.2 points below.

Last week, however, the central bank said it would henceforth run a tighter ship. The “corridor” within which rates can drift will narrow from 0.7 percentage points to 0.5. The bank will also pay more attention to overnight rates, a step toward shortening its policy rate. Its decisions filter through to longer-term commercial rates, like the loan-prime rate, a benchmark for mortgages, which was left unchanged on Monday. [China](#) is modernising its central banking. A week is a long time in politics, and in monetary policy, too.

The downside of Canada's oil windfall



Photograph: Reuters

On Monday Canada's inflation figures for May will show to what degree high energy costs have pumped up consumer prices. The Canadian economy has been behaving like a passenger jet flying on one engine. The bump in oil prices caused by the war in Iran has benefited oil-producing provinces in western Canada. But tepid business investment linked to Donald Trump's tariffs on steel, aluminium and Canadian-built cars has hobbled the eastern provinces and kept the economy from gaining altitude.

Economists expect Canada's annual inflation rate was around 3% last month, at the top of the Bank of Canada's target range of 1-3%. Still, the central bank is also weighing the risk that the economy could slow further, particularly amid uncertainty over the future of [Canada's trade pact with America and Mexico](#). Last week it decided to hold interest rates at 2.25%, but said that monetary policy would need to be "nimble".

Daily quiz



Illustration: Sandra Navarro

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Monday: Those born between July 23 and August 22 are generally associated with which Zodiac sign?

Life did not intend to make us perfect. Whoever is perfect belongs in a museum.

Erich Maria Remarque